Nirma University

Institute of Management

Supplementary Examination (SPE), June-2025

Master of Business Administration, Int. B. Tech. (Computer Science and Engg.) - MBA, Trimester - II

Course Code & Title: 6MP104CC22 & Macroeconomics

Roll / Exam No.: _____ Supervisor's initial _____ with date

Time: 3 Hours Max. Marks: 100

Instructions:
1. All questions are compulsory.
2. Figures to right indicate full marks.
3. Draw neat sketches wherever necessary.

Q-1. CLO 1 BL 1 **Examine the validity of the following statements and write an appropriate justification for the same.** **[40]**

(i) An increase in savings always leads to higher investment and growth.

(ii) An economy at full employment cannot experience inflation.

(iii) Real GDP growth always leads to improved living standards.

(iv) Monetary policy is more effective than fiscal policy in a deep recession.

(v) In the long run, expansionary fiscal policy has no effect on output.

(vi) The natural rate of unemployment is constant over time.

(vii) In an open economy, fiscal policy is more potent than in a closed one.

(viii) Printing money always leads to inflation.

Q-2. CLO 2 BL 3 A government facing a sharp increase in unemployment decides to implement a fiscal stimulus by raising infrastructure spending by 3% of GDP. Simultaneously, global commodity prices fall, reducing production costs for domestic firms. Using the AD-AS model, analyse the likely short-run effects on output and price level. Would the economy face demand-pull or cost-push inflation? How might the composition of these shifts affect policy outcomes? **[10]**

Q-3. CLO 1 BL 4 Country X has shown a consistent rise in nominal GDP over the past five years. However, analysts note growing concern about economic welfare due to deteriorating infrastructure, worsening air quality, and rising inequality. Discuss whether GDP is a reliable measure of national welfare in this context. How might other metrics provide a better picture of development? **[10]**

Q-4. CLO 2 BL 5 **In an economy, the following functions are estimated:** **[10]**

Consumption function C = 0.8 (1– t) Y; Tax function T = 0.25 Y; Investment function I = 900 – 50 I; Government expenditure G= 800; Demand for money L = 0.25 Y – 62.5 I; Supply of money M = 500; Price level P = 1; t = Tax rate; Y = National income and I = Interest rate.

Answer the following questions:

(a) Derive the equation for the IS and LM curves.

(b) What is the equilibrium level of income and interest rate?

(c) What is the equilibrium level of Savings and Investments?

Q-5. CLO 3 BL 2 Two economies with identical savings rates, population growth, and depreciation are compared. One, however, experiences consistently higher output per capita in the long run. Explain the difference using the Solow model. What fundamental driver does Solow identify for long-run per capita income growth? **[10]**

Q-6. CLO 2 BL 3 In an economy with high unemployment and idle capacity, the government increases its spending by $100 million. The marginal propensity to consume is 0.75. Explain the impact on national income using the simple Keynesian multiplier model. What assumptions does the model make about prices and supply? **[10]**

Q-7. CLO 3 BL 2 A small open economy with perfect capital mobility adopts a fixed exchange rate regime. It tries to use expansionary monetary policy to stimulate output. Using the Mundell-Fleming framework, explain the likely outcome. What constraints does the fixed exchange rate impose on policy effectiveness? **[10]**